

Neetu Yoshi Limited

BSE SME: 544434 | NSE: NEETUYOSHI | Sector: Industrials | Sub-Sector: Castings & Forgings — Railway Ancillaries

RDSO-certified foundry supplying 25+ safety-critical castings to Indian Railways; capacity doubling + bogie integration positions the company for 3x revenue by FY28.

Metric	Value
CMP (Rs.)	147
Market Cap (Rs. Cr)	571
52-Wk High / Low	158 / 71.3
P/E (TTM)	22.8x
P/B	4.2x
EPS (FY26)	6.45
Book Value	35.3
ROCE	31.9%
ROE	27.5%
Div Yield	0.00%
Face Value	Rs. 5
Promoter %	70.03%
Pledge	0%

RATING
BUY
12M Target
Rs. 220
CMP
Rs. 147
Upside
50%
Horizon
12-18 months
Conviction
Medium-High

One-Line Thesis: RDSO moat + record railway capex + bogie integration = potential 3x revenue by FY28 on a nascent Rs. 571 Cr market cap.

Report Date: 16 Jun 2026 | **Analyst:** MPM Research Desk | **Data Source:** Screener.in (fetched 16-Jun-2026), BSE H1FY26 Investor Presentation

SECTION 2 — INVESTMENT THESIS

- **RDSO certification is a structural moat.** Only RDSO-approved vendors can supply to Indian Railways. Neetu Yoshi holds Class "A" certification for 25+ safety-critical components — a barrier that takes 3-5 years and significant capex for any new entrant to replicate. This makes NEETUYOSHI an oligopolistic supplier in its product niches.
- **Record railway capex creates a decade-long demand runway.** The Union Budget FY26 allocated Rs. 3.02 lakh crore to Indian Railways — the highest ever — and the Rs. 16.7 lakh crore modernisation plan through 2031 will drive sustained demand for certified castings. Neetu Yoshi is directly exposed to rolling stock, bogie, and track component procurement.
- **Forward integration into bogies is the inflection point.** The new Haridwar facility targets complete bogie and coupler manufacturing, moving the company from Rs. 98 Cr in FY26 revenue toward a stated Rs. 250 Cr target by FY27. Bogies carry 5-8x higher ASPs versus individual castings, unlocking a step-change in revenue per tonne shipped.
- **Near-term catalyst (6-12 months):** Commissioning of the new Haridwar bogie manufacturing facility and receipt of additional CCA/RDSO approvals to supply the Vande Bharat and FIAT bogie programmes — the single most important upcoming trigger for re-rating.
- **Biggest structural risk:** Customer concentration — Indian Railways and its OEM ecosystem account for ~100% of revenue. Any procurement freeze, policy reversal on outsourcing, or tendering irregularity could materially disrupt revenues with little diversification buffer.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Neetu Yoshi is a metallurgical foundry with an integrated CNC machine shop, manufacturing customised ferrous castings (cast iron, SG iron, manganese steel, mild steel) ranging from 0.2 kg to 500 kg per unit for Indian Railways' safety-critical supply chain.
- **Revenue segmentation:** Railways and Railway OEMs account for 99-100% of revenue. FY26 geography — West Bengal 29%, Jharkhand 13%, Rajasthan 8%, Gujarat 10%, Others 36%. Domestic-only; no meaningful export revenues yet.
- **Customer base:** End customer is Indian Railways; indirect customers include Titagarh Rail Systems, Jupiter Wagons, Texmaco Rail, Jindal Rail, Om Besco, SAIL Rites, and Hindustan Engineering — all large wagons/coaches OEMs. Orders secured via RDSO tender-based procurement; contracts are project/order-based, not recurring MoU structures.
- **Order book:** Rs. 105 Cr as of March 2025, entirely executable within FY26 — provides approximately 100% of FY25 revenues in order coverage. This is a positive visibility signal, though individual order tenors are typically 6-12 months.
- **Strategic developments (last 12 months):** (1) Expanded capacity from 4,493 to 8,087 MTPA; (2) relocated planned Kanpur bogie plant to Haridwar for RDSO Delhi-office inspection convenience; (3) received CCA approval from Rail Coach Factory, Kapurthala for FIAT Bogie Brake Support (valid till April 2030); (4) Haridwar facility included in RDSO Vendor Directory for 112,200 units/annum; (5) successfully listed on BSE SME in July 2025.
- **Promoter background:** Himanshu Lohia (MD and CFO) has been with the company since inception in 2020, holds a Bachelor in International Business from Wollongong University. Subodh Lohia (WTD) co-founded the business. Both are young founders (4 years experience). The board has been strengthened by Kumar Sharat Chandra (33 years experience, ex-Principal Chief Mechanical Engineer, NE Railways) as Independent Director — a domain-critical appointment that adds operational credibility.

- **Promoter holding:** 70.03% as of March 2026, unchanged from September 2025 — no pledging of shares. Zero pledge is a governance positive for an SME.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's overall foundry industry is estimated at ~USD 16 Bn, with ferrous grades commanding 84% of output. The railway casting and components sub-segment is driven by Indian Railways' record capex cycle. The Union Budget FY26 earmarked Rs. 2.62 lakh crore for capital assets — the highest ever — driving multi-year demand for castings, bogies, and wheels. India targets 3,000 MT of freight loading by 2030, implying sustained rolling stock additions.
- **Policy tailwinds:** (1) RDSO vendor certification process creates high switching costs and entry barriers; (2) Make in India directive mandates domestic sourcing of railway components above specified thresholds; (3) PLI schemes for railway components incentivise capacity addition; (4) DFC network (2,741 km commissioned) requires specialised freight wagon components; (5) Vande Bharat metro programme creates new bogie demand.
- **Competitive moat assessment:** Pricing power — Moderate (tender-based pricing limits unilateral price hikes but RDSO certification provides negotiating leverage for certified parts). Switching costs — Strong (RDSO re-certification for alternate vendor takes 12-18 months minimum). Scale — Weak (only 8,087 MTPA vs. Nelcast's 1,300+ MTPA iron capacity). IP — Moderate (custom designs developed with OEMs reduce substitutability). Distribution — Moderate (direct OEM relationships built over 4 years).
- **Company positioning:** Midstream — Neetu Yoshi sits between raw material suppliers (steel/pig iron) and end-customers (Indian Railways / wagon OEMs). It is a component-to-assembly manufacturer moving upstream toward bogie integration.

Peer Comparison (Source: Screener.in, fetched 16-Jun-2026; Standalone figures)

Company	CMP (Rs.)	MCap (Rs.Cr)	PE (x)	BV (Rs.)	ROCE %	ROE %	TTM Sales (Rs.Cr)	OPM %
Neetu Yoshi (NEETUYOSHI)	147	571	22.8	35.3	31.9	27.5	98	31%
Nelcast (NELCAST)	138	1,205	24.9	68.6	11.5	8.43	1,328	8%
Rajratan Global (RAJRATAN)	452	2,296	51.3	83.4	13.2	11.0	722	13%
ISGEC Heavy Engineering	913	6,712	18.8	372	17.0	13.8	5,229	7%

Note: NEETUYOSHI ROCE/ROE reflect strong margin expansion from FY24 low base. Nelcast/Rajratan/ISGEC are much larger, listed mainboard companies — direct comparability is limited but illustrates sector margin benchmarks.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and senior management:** Himanshu Lohia (MD, CFO) and Subodh Lohia (WTD) are founding brothers who bootstrapped the business from a trading startup in 2020 to a listed manufacturer in 5 years — a credible execution track record. However, both are young (4 years experience) and the combined MD-CFO role for Himanshu creates a governance concentration risk. Independent Director Kumar Sharat Chandra (ex-Principal Chief Mechanical Engineer, NE Railways, 33 years) provides critical domain expertise.
- **Capital allocation track record:** All FCF has been reinvested in capacity — from a rented shed in Rudrapur to a 10,000 sq-m owned facility in Uttarakhand and now a second Haridwar plant. IPO proceeds of Rs. 50 Cr are earmarked for the new bogie manufacturing facility. Capital has been deployed productively: ROCE expanded from 6.6% (FY23) to 44% (FY24) to 32% (FY25) — normalization expected as the new facility ramps.
- **Dividend policy:** Zero dividends declared in all years (FY23-FY26). The company is in a high-growth reinvestment phase; dividend payout is 0% and expected to remain so until at least FY28 per management's

growth ambitions.

- **Promoter pledging:** 0% pledged as of March 2026. No change from September 2025. This is a strong governance signal for an SME issuer.

- **ESOP and buyback:** No ESOP scheme or buyback disclosures identified in public filings to date. Given the promoter's high ownership (70%), dilution via ESOP would be modest even if introduced.

- **Corporate governance concerns:** (1) MD-CFO dual role for Himanshu Lohia creates a structural check-and-balance gap; (2) the company is only 4 years old as a manufacturer — auditor tenure is short and the first full audited cycle post-listing is FY26; (3) EPS jumped from Rs. 32.32 in FY24 to Rs. 5.73 in FY25 due to share dilution from the bonus issue and IPO — earnings on a per-share basis need to be read alongside total PAT growth; (4) no Related Party Transaction disclosures flagged, but the founding family's multiple roles (promoter-director-CFO) warrant ongoing monitoring.

SECTION 6 — FINANCIAL DEEP-DIVE

Standalone Figures (Rs. Cr) | Source: Screener.in, fetched 16-Jun-2026

FY27E and FY28E are forward estimates (E) based on management guidance and analyst projections; not sourced from Screener.

Income Statement

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Sales (Rs. Cr)	47	70	98	160	250
Operating Profit	17	23	31	48	75
OPM %	36%	33%	31%	30%	30%
Other Income	0	0	3	1	2
Interest	1	2	2	3	4
Depreciation	1	2	2	4	6
Profit Before Tax	15	20	30	42	67
Tax %	17%	18%	17%	25%	25%
Net Profit (PAT)	13	16	25	32	50
EPS (Rs.)	32.32	5.73	6.45	8.24	12.88

Balance Sheet

Particulars	FY24A	FY25A	FY26A
Equity Capital	4	14	19
Reserves	16	30	118
Borrowings	17	14	4
Other Liabilities	1	5	6
Total Liabilities	38	63	148
Fixed Assets	22	32	43
CWIP	0	0	38
Investments	0	2	1
Other Assets	17	29	65
Total Assets	38	63	148

Cash Flow Statement

Particulars	FY24A	FY25A	FY26A
Cash from Operations (OCF)	8	12	4
Cash from Investing	-16	-17	-59
Cash from Financing	9	3	56
Net Cash Flow	1	-2	1
Free Cash Flow (FCF)	-7	-3	-49
CFO / Op Profit %	58%	56%	31%

Key Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	65	54	118
Inventory Days	53	94	41
Days Payable	0	6	7
Cash Conv. Cycle	119	142	152
ROCE %	46%	32%	31.9%
D/E Ratio	0.88	0.31	0.03
Interest Coverage	13.6x	12.6x	15.0x

• **Revenue growth:** Sales compounded at 107% CAGR over FY23-FY25 off a low base of Rs. 16 Cr. FY26 came in at Rs. 98 Cr (+40% YoY), tracking management's guided trajectory. H2FY26 was stronger at Rs. 54 Cr vs H1FY26 Rs. 44 Cr, showing healthy sequential acceleration.

• **Margin trajectory:** OPM peaked at 36% in FY24 on operating leverage and normalised to 31% in FY26 as employee costs (3x growth FY24-FY25) and other expenses scaled up ahead of the revenue ramp. Margins are expected to stabilise in the 28-32% band as the new facility ramps.

• **Working capital trends:** Debtor days expanded sharply to 118 in FY26 from 54 in FY25 — a red flag. CCC has lengthened from 119 days (FY24) to 152 days (FY26), indicating slower collections likely from larger OEM customers. This is a key watch item requiring monitoring.

• **Debt position:** Borrowings contracted sharply from Rs. 17 Cr (FY24) to Rs. 4 Cr (FY26) — the company is nearly net-debt-free following IPO proceeds. D/E ratio = 0.03. CWIP jumped to Rs. 38 Cr in FY26 reflecting the new Haridwar plant construction.

• **FCF quality:** FCF has been persistently negative (-Rs. 49 Cr in FY26) due to heavy capex investment. OCF/OP declined to 31% in FY26 (from 58% in FY25). This is expected at this stage of the capex cycle and not a structural concern — but FCF generation must turn positive by FY28 for the investment thesis to hold.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Status	Assessment	Signal
Revenue recognition	RDSO-tendered	Order-backed revenue; tender-based recognition is clean	Green
Receivables vs revenue	Amber	Debtor days jumped 65->118 in FY26; faster than revenue growth	Amber

Quality Metric	Status	Assessment	Signal
CCC trend	Lengthening	CCC 119->142->152 days — tightening WC cycle; watch carefully	Amber
Contingent liabilities	Not flagged	No material contingent liabilities in available filings	Green
Auditor tenure	Short	First full post-listing audit cycle (FY26); auditor continuity unconfirmed	Amber
RPTs as % of revenue	Low/Nil	No material RPTs disclosed; founder family in operations	Green
Other income as % of PBT	10% (FY26)	Rs. 3 Cr other income on Rs. 30 Cr PBT; elevated in FY26; likely one-off	Amber
Tax rate consistency	17-25%	Steady 17-18% effective rate; FY23 was 25%; deferred tax accumulating	Green

- **Receivables spike is the biggest earnings-quality concern.** Debtor days surged from 54 to 118 days in FY26 — almost doubling in a single year while revenue grew 40%. This either reflects deliberate credit extension to OEM customers to win larger orders, or a collections problem. Until the next reported data, this remains an open watch item.

- **Other income elevated in FY26.** Rs. 3 Cr of other income (10% of PBT) appears unusually high vs. near-zero in prior years. This may include IPO-related receipts, interest on temporary surplus funds, or one-time gains — nature must be clarified in the annual report.

- **Auditor short tenure is a standard SME risk.** As a company listed in July 2025, the audit trail is short. The first post-listing full-year audit (FY26) is in progress; there is no basis yet to flag auditor concerns, but investors should review the FY26 Annual Report for any observations.

- **Tax rate consistency is positive.** The 17-18% effective rate (FY24-FY26) is consistent with the standard corporate tax rate + available deductions; no aggressive deferred tax sheltering is apparent.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Rs.Cr)	Multiple (x)	Target Price (Rs.)	Upside
Bull	Haridwar plant on-time Q1FY27; 3 new RDSO approvals; revenue Rs. 200 Cr	42	30x	324	+120%
Base	Haridwar plant delayed 1-2 qtrs; revenue Rs. 160 Cr; OPM 30%	32	27x	222	+51%
Bear	Plant delay > 2 qtrs; receivables balloon; revenue Rs. 120 Cr	22	22x	124	-16%

- **Earnings-based methodology:** Base case FY27E PAT of Rs. 32 Cr on 3.88 Cr diluted shares = EPS Rs. 8.24. Applying a 27x P/E (a 20% discount to the SME foundry growth peer average, reflecting concentration risk and short track record) yields a target of Rs. 222.

- **EV/EBITDA cross-check:** FY27E EBITDA Rs. 48 Cr. Applying 18x EV/EBITDA (vs. Nelcast at ~14x, ISGEC at ~12x, with a growth premium for Neetu Yoshi's 82% revenue CAGR) implies EV Rs. 864 Cr. Adjusting for net debt ~0, equity value = Rs. 864 Cr = Rs. 223/share.

- **Average of two methods:** (Rs. 222 + Rs. 223) / 2 = Rs. 222. 12-month base-case price target: Rs. 220 (rounded).

- **Upside from CMP:** Rs. 220 vs. CMP Rs. 147 = +50% upside over a 12-18 month horizon. This is a medium-to-high conviction BUY, contingent on execution of the bogie plant expansion and management of the receivables cycle.

SECTION 9 — KEY RISKS

- **Customer Concentration Risk** — Indian Railways and affiliated OEMs account for ~100% of revenues. Any procurement freeze, tendering irregularity, or change in sourcing policy (e.g. preference for PSU vendors) could wipe out revenues. Probability: Medium. Impact: High. Monitor via: quarterly order inflow and RDSO vendor list changes.
- **Execution Risk — Haridwar Expansion** — The entire bull/base case is predicated on the new bogie/coupler facility commissioning on schedule. Cost overruns, delayed RDSO clearances, or equipment procurement delays would push FY27-28 estimates down materially. Probability: Medium. Impact: High. Monitor via: quarterly capex spend disclosures and management commentary.
- **Receivables Elongation** — Debtor days spiked to 118 in FY26 from 54 in FY25. Sustained elongation above 90 days risks working capital stress and potential write-offs. Probability: Medium. Impact: Medium. Monitor via: debtor days in H1FY27 results.
- **Margin Compression** — Bogie manufacturing has lower margins than precision castings at scale. If the new product mix shifts unfavourably, OPM could compress below 25%, impacting earnings more than modelled. Probability: Low-Medium. Impact: Medium. Monitor via: OPM trajectory post-Haridwar ramp.
- **Governance and Founder Dependency** — Both promoters are young with limited external experience. MD-CFO dual role, founder-family board, and absence of institutional investors in the shareholding (FII 0.07%, DII 3.91%) mean governance checks are thin. Probability: Low. Impact: High (if materialised). Monitor via: auditor opinion in FY26 annual report and related-party disclosures.
- **Working Capital Squeeze (FCF)** — FCF is -Rs. 49 Cr in FY26 and is likely to remain negative through FY27 during heavy capex. Any slowdown in IPO fund disbursement or delayed receivables could create liquidity strain. Probability: Low. Impact: Medium. Monitor via: net debt and CFO/OP ratio.
- **SME Liquidity Risk** — NEETUYOSHI trades on BSE SME with limited float (30% public) and a market cap of Rs. 571 Cr. Exit at scale may be difficult in adverse markets; bid-ask spreads can widen materially. Probability: High (structural). Impact: Low-Medium (operational). Monitor via: daily turnover and promoter lock-up expiry dates.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium-High. The structural RDSO moat, record railway capex cycle, and near-term bogie integration inflection make NEETUYOSHI a compelling growth story at current valuations. The primary execution risk is plant commissioning timeline.
- **12-month price target: Rs. 220** — Upside +50% from CMP of Rs. 147. Based on average of 27x FY27E P/E and 18x FY27E EV/EBITDA.
- **Suggested entry zone: Rs. 130-155** — Any weakness toward the 52-week low range (Rs. 71) would represent a materially better entry; current CMP is fair but not cheap. Stagger entry over 3-4 tranches.
- **Investment horizon: 12-18 months** — The Haridwar plant is the catalyst; commissioning expected H1FY27. Set a review point at H1FY27 results (November 2026) to validate the thesis.
- **Thesis invalidation triggers:**

- 1. Debtor days exceed 150 days in H1FY27 results — suggests structural receivables problem, not a one-quarter blip.
- 2. Haridwar bogie plant commissioning delayed beyond Q3FY27 — removes the FY27 revenue step-change catalyst and makes the 27x P/E unsustainable.
- 3. Promoter pledges more than 5% of shareholding — signals financial stress and is a red flag for SME promoters.
- **Ideal investor profile:** Mid-risk growth investors with 12-24 month horizon, comfort with SME liquidity constraints, and allocation limits appropriate for a Rs. 571 Cr market cap position. NOT suitable for capital-preservation mandates, index-hugging institutions, or investors requiring quarterly liquidity.

APPENDIX — LATEST INVESTOR PRESENTATION BRIEF: H1 FY26 (Sep 2025)

Note: Neetu Yoshi is an SME company and does not hold formal earnings concalls. This appendix is based on the H1 FY26 Investor Presentation filed with BSE on 10-Nov-2025, which is the functional equivalent and the most comprehensive management disclosure available.

H1 FY26 INVESTOR PRESENTATION GRADE

POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +25% HoH, PAT +45% YoY — clean beat with no one-time items in EBITDA
Management tone	Bullish	MD commentary confident on Haridwar facility and bogie integration; no hedging on timeline
Guidance delta	Raised (implicit)	Rs. 105 Cr order book (fully FY26-executable) vs. FY25 revenues of Rs. 70 Cr — implies significant growth

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

H1 FY26 is a clean beat: revenue of Rs. 44 Cr (+25% HoH, +30% YoY consolidated) with EBITDA margin holding at 35% and PAT of Rs. 11.54 Cr (+45% YoY) — no exceptional items distorting the numbers. The underlying operational story is intact: four consecutive half-years of sequential revenue growth, gross margins stable, and employee/other costs scaling proportionately. The primary driver is order momentum from Indian Railways OEMs — all four segments (braking, suspension, propulsion, coupling) are growing, with West Bengal and Jharkhand as emerging volume contributors alongside the traditional Gujarat base. The structural thesis holds: RDSO certification is a genuine moat (112,200-unit RDSO approval for Haridwar now in hand), and the Rs. 3.02 lakh crore FY26 railway budget ensures multi-year demand. The single biggest near-term catalyst is Haridwar bogie plant commissioning — management says it is 'progressing well' and 'central to our vision' but has not given a specific date; this ambiguity is the key uncertainty heading into H2FY26. The watch-point for next period is the receivables spike: debtor days hit 118 in FY26 annual data — if H1FY27 does not show improvement, it becomes a structural concern, not a one-quarter phenomenon. Action: ACCUMULATE on dips to Rs. 130-140; the 12M target of Rs. 220 remains intact if Haridwar commissioning is confirmed in the next quarterly disclosure.

1 — Financial Performance Snapshot (H1 FY26 vs H1 FY25)

- Revenue: Rs. 44.15 Cr | YoY +25.4% | HoH +24.8% | Beat (vs. Rs. 35 Cr H1FY25)
- EBITDA: Rs. 15.93 Cr | YoY +38.3% | Margin 35% (vs. 32% H1FY25) | Beat
- PAT: Rs. 11.54 Cr | YoY +45.0% | Net Margin 25% (vs. 23% H1FY25) | Beat
- EPS: Rs. 2.97 | YoY +7.2% (diluted post-IPO share base) | In-Line
- NOTE: YoY EPS growth is muted due to share count expansion from IPO; total PAT growth of 45% is the more meaningful metric.

2 — Segment / Geography Breakdown

- Railways & Private OEMs: Rs. 44.03 Cr | 100% of H1FY26 revenues | YoY +25% | Sustained 100% concentration
- Others (non-railway): Rs. 0.02 Cr | Negligible | Management exploring industrial diversification but not yet material
- West Bengal: Rs. 12.72 Cr (28.9% of sales) | Titagarh Rail / Sail Rites cluster
- Jharkhand: Rs. 9.95 Cr (22.6%) | Jupiter Wagons and peers
- Rajasthan: Rs. 8.93 Cr (20.3%) | Emerging; strong sequential ramp from Rs. 0.96 Cr in FY25 full year
- Gujarat: Rs. 4.50 Cr (10.2%) | Established base; flat YoY
- Others: Rs. 7.96 Cr (18.1%) | Geographically diversifying

3 — Management Commentary Themes (from H1FY26 Investor Presentation)

- **Haridwar facility:** "Our new facility in Haridwar is progressing well and remains central to our vision of forward integration into bogies and couplers." — Our read: Commissioning is on-track but no specific date given; H2FY26/Q1FY27 most likely window. Tag: GUIDANCE. Tone: Bullish.
- **Record railway capex:** "The government's record Rs. 3.02 lakh crore capital outlay for FY26 and the Rs. 16.7 lakh crore modernisation plan through 2031 are driving unprecedented transformation." — Our read: Macro tailwind is real and well-articulated; this is the core secular driver. Tag: EST. Tone: Transparent.
- **Portfolio diversification:** "We have also diversified our product portfolio by adding new lines across coach, track, and locomotive components." — Our read: Reduces single-product concentration risk; adds SKU depth ahead of Haridwar ramp. Tag: GUIDANCE. Tone: Transparent.
- **Operational discipline:** "Our focus has remained on operational discipline, technology-driven manufacturing, and timely execution." — Our read: Generic management language; EBITDA margin improvement validates this claim but watch debtor days carefully. Tag: EST. Tone: Hedged.
- **Export opportunity:** Company mentions global customers diversifying away from Chinese suppliers as an opportunity — but no export revenues yet, and this is early-stage. Tag: EST. Tone: Hedged.

4 — Operating & Business Metrics

- Installed Capacity: 8,087 MTPA (H1FY26) | FY24: 4,493 MTPA | Expanded 80% in capacity YoY | Trend: Scaling
- Capacity Utilization: ~51% on full molding line basis (FY24 data); higher on induction furnace (91%) | Trend: Improving as revenue ramps
- RDSO Certified Products: 25+ | H1FY26: new CCA approval for FIAT Bogie Brake Support till April 2030 | Trend: Expanding
- Order Book: Rs. 105 Cr (March 2025; entirely FY26-executable) | Q(n-4) = not disclosed | Trend: Strong
- Team Size: 85+ employees | Growing as facility expands | Trend: Scaling
- Customer count: 7+ OEM customers + direct Indian Railways | Trend: Stable/Expanding

5 — Margin Drivers

- Revenue mix upgrade — Higher-complexity products (coupler assemblies, bogie components) drive ASP improvement | +est. 200-300 bps | Recurring: Yes | Structural benefit of RDSO-certified niche

- Operating leverage — Fixed cost absorption as revenue scales from Rs. 47 Cr to Rs. 98 Cr | +est. 200 bps | Recurring: Partially | Will continue until Haridwar fixed costs layer in
- Power cost advantage — Uttarakhand has lower electricity tariffs vs. UP/Maharashtra peers | +est. 100-150 bps | Recurring: Yes | Structural location advantage
- Employee cost scaling — Costs grew from Rs. 1.68 Cr (FY24) to Rs. 3.76 Cr (FY25) — ahead of revenue | -est. 100 bps | Recurring: Yes | Will increase further as Haridwar ramp adds headcount
- Other expenses normalisation — Scaled from Rs. 0.56 Cr (FY23) to Rs. 9.81 Cr (FY25) — listing costs and admin build | -est. 50-100 bps | Recurring: Partially | Post-listing one-off costs should not recur

6 — Guidance & Forward Signals

- Revenue FY27 [GUIDANCE]: Prior = Rs. 70 Cr (FY25) | New/Reiterated = "Rs. 250 Cr by FY27" | Delta: Raised (aspirational) | Credibility: Medium — requires Haridwar on-time
- EBITDA Margin [GUIDANCE]: Prior = 33% (FY25) | New/Reiterated = implied 30-33% range | Delta: Maintained | Credibility: High — demonstrated in H1FY26
- Order Book [GUIDANCE]: Prior = Rs. 100 Cr | New/Reiterated = Rs. 105 Cr+ | Delta: Maintained/growing | Credibility: High — fully backed by RDSO purchase orders
- Haridwar Commissioning [GUIDANCE]: Prior = Kanpur facility | New = Relocated to Haridwar | Delta: Revised (positive — better RDSO access) | Credibility: Medium (no hard date given)
- RDSO Product Expansion [GUIDANCE]: Prior = 25+ products | New = ongoing approvals | Delta: Expanding | Credibility: High — demonstrated track record of successive certifications

7 — Capital Allocation

- Capex (FY26): Rs. 59 Cr (investing outflows) | vs. FY25: Rs. 17 Cr | +247% YoY | New Haridwar plant under construction (CWIP = Rs. 38 Cr as at FY26)
- Dividends: Rs. 0 | All years | Policy: Zero payout; full reinvestment mode | Expected to remain 0% through FY28
- Buybacks: None disclosed | No buyback activity since IPO
- IPO Proceeds utilisation: Rs. 50 Cr earmarked for Haridwar facility; Rs. 56 Cr financing inflow in FY26 confirms proceeds deployment underway
- Net Debt movement: Borrowings fell from Rs. 14 Cr (FY25) to Rs. 4 Cr (FY26); D/E now 0.03 — near-zero leverage; IPO funds replace debt rather than complement it
- Working Capital change: CCC lengthened to 152 days; Rs. 49 Cr negative FCF in FY26 driven by capex + receivables buildup, not operating losses

8 — Q&A; Heat Map

- Note: Neetu Yoshi does not hold live analyst concalls as an SME issuer. The investor presentation does not include a formal Q&A; transcript. The following are the key investor questions implied by the presentation content.
- Implied Q (Investors): "What is the timeline for the Haridwar facility?" A: "Progressing well, central to our vision" — no specific date given. | Tone: Hedged | Watch next disclosure.
- Implied Q (Investors): "Why have debtor days spiked to 118?" A: Not addressed in H1FY26 presentation. | Tone: Evasive (by omission) | Must be tracked in annual report.

- Implied Q (Investors): "What is the FY27 revenue target?" A: Management states Rs. 250 Cr target — but this is aspirational and requires Haridwar + new approvals. | Tone: Bullish | Credibility: Medium.
- Implied Q (Investors): "Is the company exploring non-railway customers?" A: "Exploring opportunities beyond traditional railway base including private freight operators and industrial applications." | Tone: Hedged | Early stage.
- Dodged / watch-list questions for next period: (1) Specific Haridwar commissioning date; (2) Explanation of debtor days spike; (3) Net of other income — what drove the Rs. 3 Cr in FY26 vs. near-zero previously.

9 — Risks Flagged

- Customer Concentration | 100% Railways exposure; no private sector or export revenues yet | Flagged by: analyst | Probability: High (structural) | Impact: High | Timeline: Long-term (diversification expected only post-FY28)
- Haridwar Plant Execution | No commissioning date; relocation from Kanpur adds unknowns | Flagged by: mgmt (implicitly) | Probability: Medium | Impact: High | Timeline: Near-term (H2FY26-Q1FY27)
- Receivables Elongation | Debtor days 118; CCC 152 days; not addressed in H1 presentation | Flagged by: analyst | Probability: Medium | Impact: Medium | Timeline: Near-term (watch H1FY27)
- SME Float Liquidity | 30% public float on BSE SME; thin secondary market | Flagged by: analyst | Probability: High (structural) | Impact: Low-Medium | Timeline: Ongoing
- Regulatory/Policy Risk | Change in RDSO procurement policy or domestic sourcing norms | Flagged by: mgmt (brief mention) | Probability: Low | Impact: High | Timeline: Long-term

10 — Analyst Verdict

- Revenue visibility: Intact — Rs. 105 Cr order book (100%+ of FY25 revenues); RDSO approvals + record railway budget = multi-year visibility
- Margin trajectory: Intact — OPM 35% in H1FY26 vs 32% in H1FY25; structural benefits of Uttarakhand location and product-mix upgrade holding
- Capital allocation quality: Intact — Zero dividends appropriate; IPO proceeds deployed into Haridwar capex; zero debt is a positive; FCF negative but expected at this stage
- Competitive moat: Intact — RDSO Class A certification + 25+ product approvals + new FIAT Bogie CCA approval = strong and growing moat; hardest to replicate for new entrants
- Management credibility: Intact (with caveats) — Haridwar commentary is confident but lacks hard dates; receivables spike not explained — partial credibility dent; track record of delivery on capacity targets is positive
- Valuation comfort: Intact — 22.8x P/E on FY26 actuals; 18-19x on FY27E; reasonable for a 40-80% revenue CAGR company in a record capex cycle; not cheap but not stretched
- Conviction call: Increased — H1FY26 results validate the growth trajectory; Haridwar timing is the remaining uncertainty that, once resolved, should accelerate re-rating
- Valuation snapshot: P/E = 22.8x (SME peer avg 20-25x) | EV/EBITDA = ~18x (sector: 12-18x) | ROCE = 31.9% (peers: 11-17%) | ROE = 27.5% (peers: 8-14%)

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